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Constraints on Managers & Managing Change



Learning Objectives

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PART 1. Contrast the actions of managers according to the **omnipotent and symbolic views**.

PART 2. Describe the **constraints** and **challenges** facing managers in today's **external environment**.

PART 3. Discuss the characteristics and importance of **organizational culture**.

PART 4. Describe **making** the **case for change**.

PART 5. Classify **areas of organizational change**.

PART 6. Explain how to **manage change**.

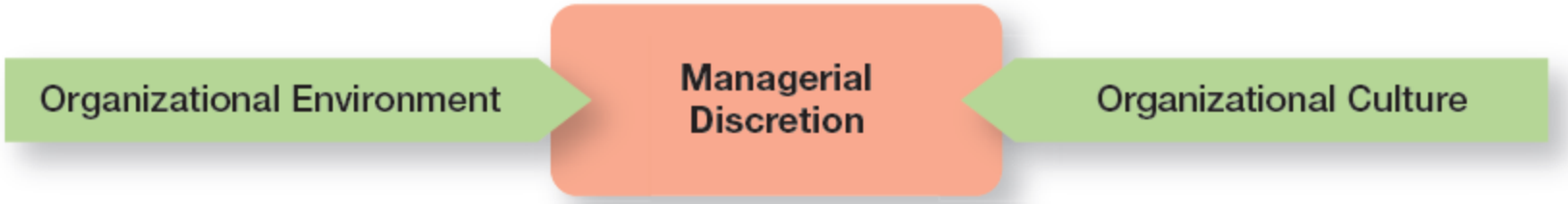
PART 7. Describe techniques for **stimulating innovation**.

The Manager: Omnipotent or Symbolic?

- **Omnipotent view of management:** *The view that **managers are directly responsible** for an organization's success or failure.*
  - Example: Coaches who lose more games than they win are usually fired and replaced by new coaches who are expected to correct the poor performance.

- **Symbolic view of management:** *The view that much of an **organization's success or failure is due to external forces** outside managers' control.*
  - Example: In 1990, Cisco Systems was the picture of success. However, in the early part of 21st century their performance was declined. The symbolic view suggest that this declining performance due to external environment such as the economy, politics, etc.

Constraints on Managerial Discretion



- In reality, **managers are neither all-powerful nor helpless**. But their decisions and actions are constrained.

- **External constraints** come from the **organization's environment** and **internal constraints** come from the **organization's culture**.

Components of the External Environment



- This components also knows as **PESTLE** framework that focus on **scanning business environment.**
- Changes in your business environment can create great **opportunities** and cause significant **threats** for your organization.

The External Environment

Factors and forces **outside** the organization that affect it's performance.

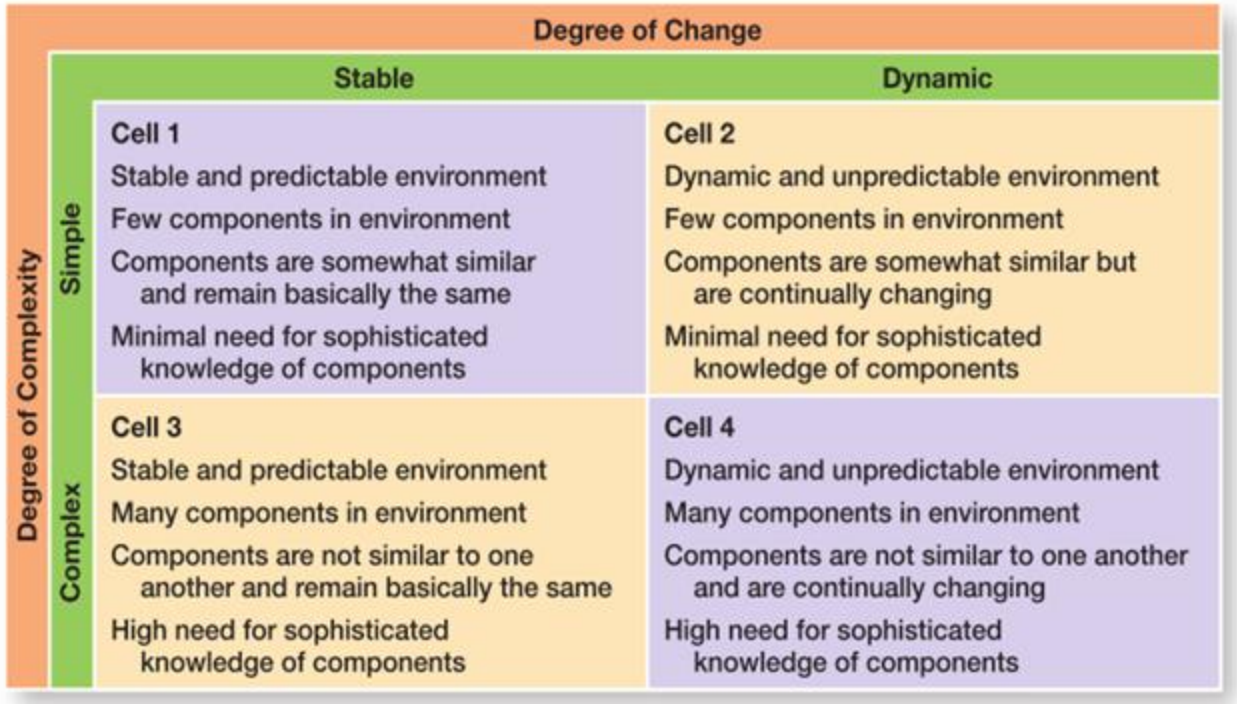
Economic	Demographic	Political/Legal	Technological	Sociocultural	Global
Encompasses factors such as interest rates, inflation, changes in disposable income, stock market fluctuations, and business cycle stages.	Concerned with trends in population characteristics such as age, race, gender, education level, geographic location, income and family composition.	Concerned with federal, state and local laws, and global laws.	Concerned with scientific or industrial innovations.	Concerned with societal and cultural factors such as values, attitudes, trends, traditions and lifestyles, beliefs, tastes, and patterns of behavior.	Encompasses issues associated with globalization and a world economy.

Assessing Environmental Uncertainty

- **Environmental uncertainty** refers to the degree of **change** and **complexity** in an organization's environment.
  - The first dimension of uncertainty is **change**.
    - Organizations are **stable**, minimal change
    - Organizations are **dynamic**, frequent change
  - The second dimension of uncertainty is **complexity**.
    - **Environmental complexity** the number of components in an organization's environment and the extent of the organization's knowledge about those components
    - Organizations are **complex**, lots of components
    - Organizations are **simple**, minimal components

How the External Environment Affects Managers

Managers have the **greatest influence in Cell 1**



Degree of Complexity	Stable	Dynamic
Simple	**Cell 1** Stable and predictable environment Few components in environment Components are somewhat similar and remain basically the same Minimal need for sophisticated knowledge of components	**Cell 2** Dynamic and unpredictable environment Few components in environment Components are somewhat similar but are continually changing Minimal need for sophisticated knowledge of components
Complex	**Cell 3** Stable and predictable environment Many components in environment Components are not similar to one another and remain basically the same High need for sophisticated knowledge of components	**Cell 4** Dynamic and unpredictable environment Many components in environment Components are not similar to one another and are continually changing High need for sophisticated knowledge of components

Degree of Change

Managers have the **least influence in Cell 4**

Organizational Culture: Constraints and Challenges

- Just as each individual an **organization**, too, **has a personality**, which is referred to as **organizational culture**.
- **Organizational Culture** —The shared values, principles, traditions, and ways of doing things that influence the way organizational members act and that **distinguish the organization from other organization**s.
- **Strong Cultures**—Organizational cultures in which the key values are **intensely held and widely shared**.

Dimensions of Organizational Culture

Adaptability

- The degree to which employees are encouraged to be innovative and flexible and to take risks and experiment.

Attention to Detail

- The degree to which employees are epected to exhibit precision, analysis, and focus on details.

People orientation

- The degree to which management decisions consider the effect of outcomes on people within and outside the organiation

Team orientation

- The degree to which collaboration is encouraged and work activities are organized around teams rather than individual.

Integrity

- The degree to which people exhibit honesty and high ethical principles in their work.

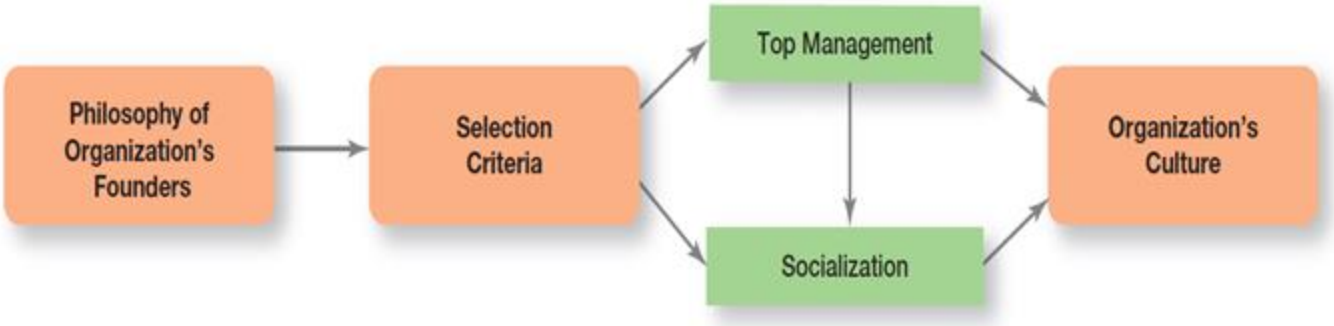
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Strong Versus Weak Cultures

Strong Cultures	Weak Cultures
Values widely shared	Values limited to a few people—usually top management
Culture conveys consistent messages about what's important	Culture sends contradictory messages about what's important
Most employees can tell stories about company history or heroes	Employees have little knowledge of company history or heroes
Employees strongly identify with culture	Employees have little identification with culture
Strong connection between shared values and behaviors	Little connection between shared values and behaviors

Where Culture Comes From and How It Continues

- Organizational Culture **usually reflects the vision of the founder.**
- The **small size** of most new organizations makes it **easier to establish organizational culture**.
- Once culture is established, organizational practices help to **maintain** it.
  - Example: when selecting new employee, we assess whether he/she will fit to our culture



How Employees Learn Culture

Stories	• organizational stories abut significant events in the life of the company help keep culture alive.
Rituals	• repetitive sequences of activities that express and reinforce important organizational values and goals.
Material Artifacts and Symbols	• convey to employees what is important and the kinds of expected behaviors, ex. Risk-taking, etc.
Language	• many organizations or units of an organization use language to identify and unite members of a culture. New employees are frequently overwhelmed with **acronyms** and **jargon** that quickly becomes a part of their language.

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How Culture Affects Manager



What Is Organizational Change?

- **Organizational Change** – any alterations in the people, structure, or technology of an organization.
- **Change Agents** – persons who act as catalysts and assume the responsibility for managing the change process.

External and Internal Forces for Change

External

- Changing consumer needs and wants
- New governmental laws
- Changing technology
- Economic changes

Internal

- New organizational strategy
- Change in composition of workforce
- New equipment
- Changing employee attitudes

Areas of Change

Strategy	• Modifying the approach ensuring the organization's success
Structure	• Changing an organization's structural components or its structural design
Technology	• Work process, methods, and equipment • Adopting new equipment, tools, or operating methods that displace old skills and require new ones
People	• Changing attitudes, expectations, perceptions, and behaviour-individual and group.

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Why Do People Resist Change?

- The ambiguity and uncertainty that change introduces
- The comfort of old habits
- A concern over personal loss of status, money, authority, friendships, and personal convenience
- The perception that change is incompatible with the goals and interest of the organization

Techniques for Reducing Resistance to Change

Technique	When Used	Advantage	Disadvantage
Education and communication	When resistance is due to misinformation	Clear up misunderstandings	May not work when mutual trust and credibility are lacking
Participation	When resisters have the expertise to make a contribution	Increase involvement and acceptance	Time-consuming; has potential for a poor solution
Facilitation and support	When resisters are fearful and anxiety ridden	Can facilitate needed adjustments	Expensive; no guarantee of success
Negotiation	When resistance comes from a powerful group	Can "buy" commitment	Potentially high cost; opens doors for others to apply pressure too
Manipulation and co-optation	When a powerful group's endorsement is needed	Inexpensive, easy way to gain support	Can backfire, causing change agent to lose credibility
Coercion	When a powerful group's endorsement is needed	Inexpensive, easy way to gain support	May be illegal; may undermine change agent's credibility

Changing Organizational Culture

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- Cultures are naturally resistant to change.
- **Conditions that facilitate cultural change:**

Dramatic Crisis *– an unexpected financial setback, the loss of a major customer, or a dramatic technological innovation by a competitor.*

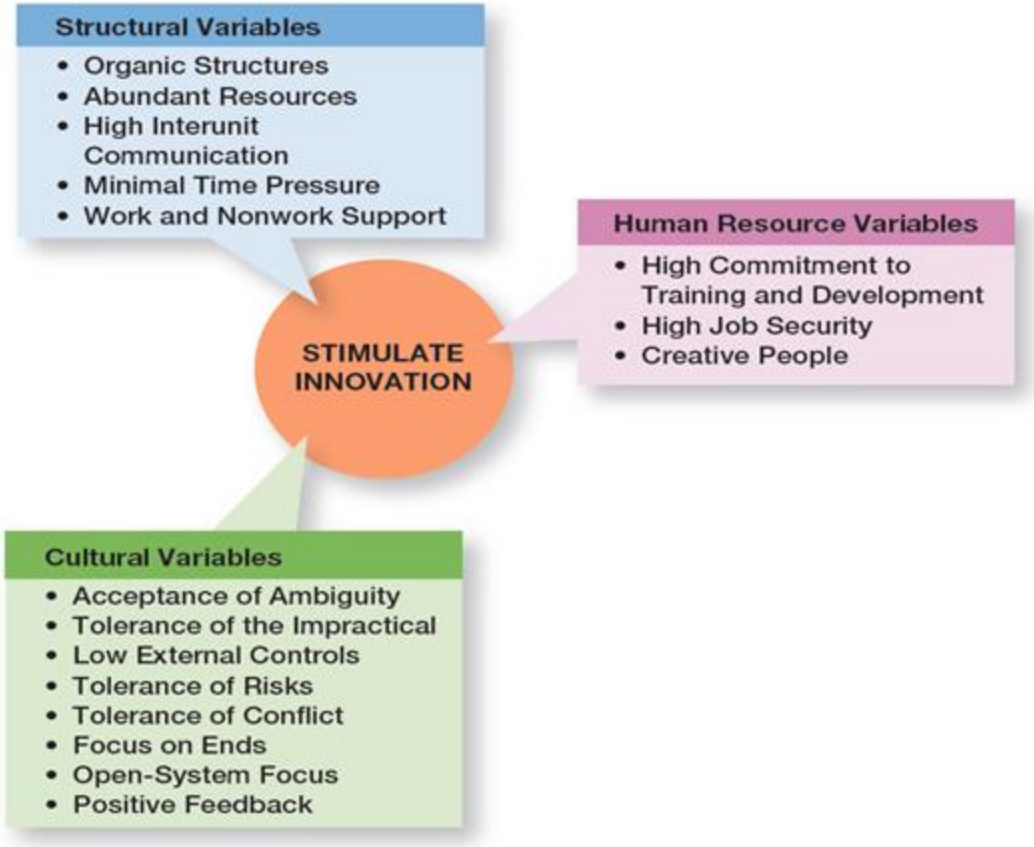
Leadership changes hands *– new top leadership can provide an alternative set of key values.*

*The organization is **young** and **small**.*

*Culture is **weak**.*

Stimulating Innovation

- **Creativity** – the ability to combine ideas in a unique way or to make an unusual association.
- **Innovation** – turning the outcomes of the creative process into useful products, services, or work methods.



Stimulating Innovation: Structural Variables

- An organic-type structure positively influences innovation.
- The availability of plentiful resources provides a key building block for innovation.
- Frequent communication between organizational units helps break down barriers.
- Innovative organizations try to minimize extreme time pressures on creative activities.
- Studies show that an employee's creative performance was enhanced when an **organization's structure explicitly supported creativity**.

Stimulating Innovation: Cultural Variables

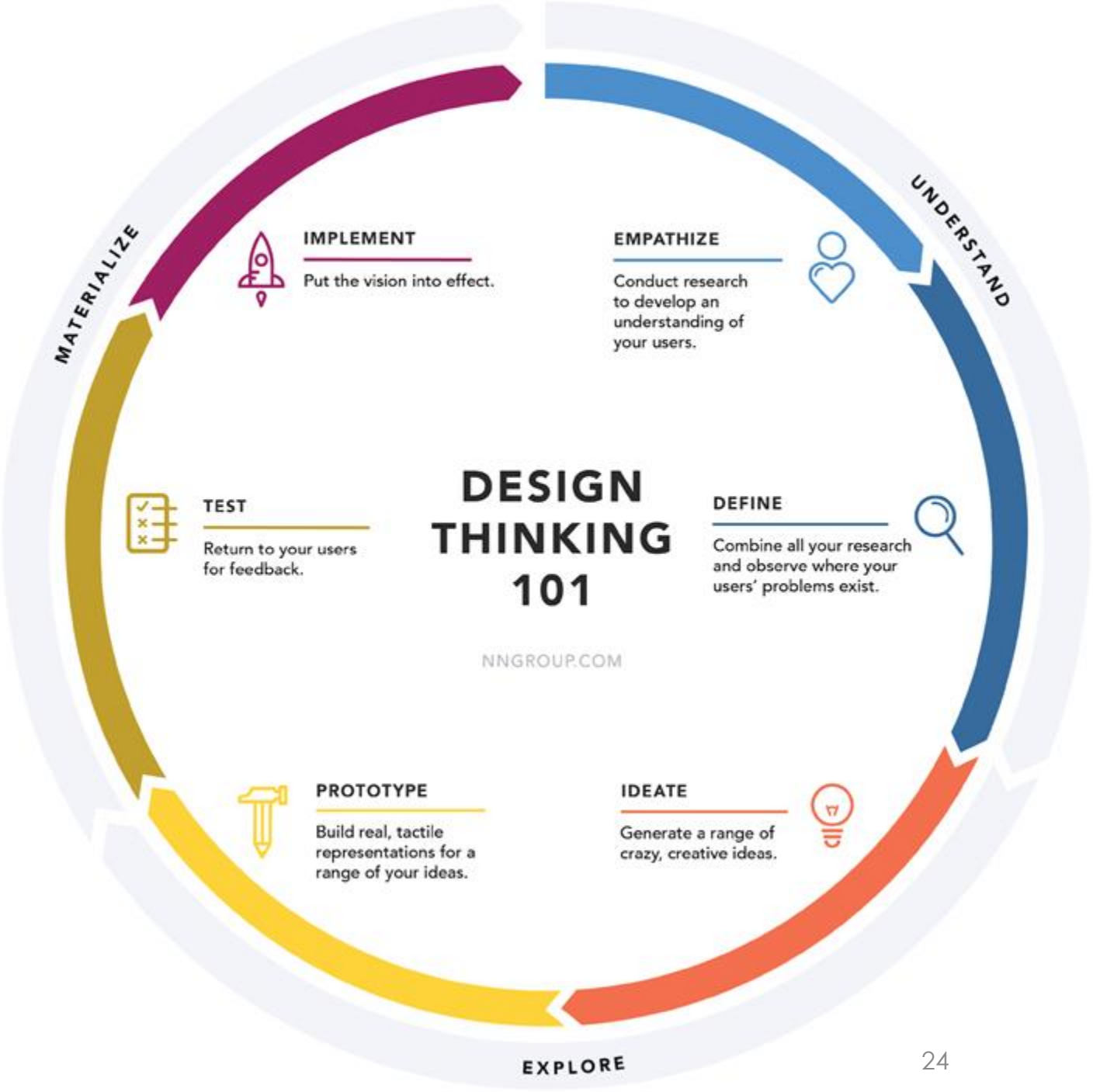
- **Accept ambiguity** – too much emphasis on objectivity and specificity constrains creativity.
- **Tolerate the impractical** – what at first seems impractical might lead to innovative solutions.
- **Keep external controls minimal** – rules, regulations, policies, and similar organizational controls are kept to a minimum.
- **Tolerate risk** – employees are encouraged to experiment without fear of consequences should they fail.
- **Tolerate conflict** – diversity of opinions is encouraged.
- **Focus on ends rather than means** – individuals are encouraged to consider alternative routes toward meeting the goals.
- ***Use an open-system focus*** – managers closely monitor the environment and respond to changes as they occur.
- ***Provide positive feedback*** – managers provide positive feedback, encouragement, and support.
- ***Exhibit empowering leadership*** – leaders let organizational members know that the work they do is significant.

Stimulating Innovation: Human Resource Variables

- **Idea champion** – individuals who actively and enthusiastically support new ideas, build support, overcome resistance, and ensure that innovations are implemented.
- **High Job Security** - offer employees high job security to reduce the fear of getting fired for making mistakes.

Innovation and Design Thinking

- **Think like a designer**
- With a design thinking mentality, the emphasis is on **getting a deeper understanding of what customers need and want**.
- A strong connection exists between **design thinking and innovation**.



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Global Management



Learning Objectives

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PART 1. Contrast **ethnocentric, polycentric, and geocentric** attitudes toward global business.

PART 2. Discuss the importance of **regional trading alliances** and **global trade mechanisms**.

PART 3. Describe the **structures and techniques** organizations use as they **go international**.

PART 4. Explain the relevance of the **political/legal**, **economic**, and **cultural** environments to **global business**.

Why Companies Decide to Go Global?

- Study found that manufacturing firms **operating in multiple countries** had **twice the sales growth** and significantly **higher profitability** than strictly domestic firm
  - Might because of **cheaper raw materials** and **workforce**

What's Your Global Perspective?

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Parochialism – viewing the world solely through your own perspectives, leading to an inability to recognize differences between people.

Ethnocentric Attitude

- The parochialistic belief that the **best work approaches** and practices are those of the **home country**.

Polycentric attitude

- The view that the managers in the **host country know the best work approaches** and practices for running their business.

Geocentric Attitude

- A world-oriented view that focuses on using the **best** approaches and people from **around the globe**.

Global Trade: Regional Trading Alliances

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EU (**European Union)**

- *a union of 28 democratic European nations created as a unified economic and trade entity with the Euro as a single common currency*

NAFTA (**North American Free Trade Agreement)**

- *an agreement among the Mexican, Canadian, and U.S. governments in which certain barriers to trade have been eliminated.*

ASEAN (**Association of Southeast Asian Nations)**

- a trading alliance of 10 Southeast Asian nations.
- The large differences in wealth among ASEN members have made it difficult to create common standards because national standards remain so far apart

Global Trade:
Global Trade Mechanisms

World Trade Organization (WTO)	• *A global organization of 153 countries that deals with the rules of trade among nations.*
International Monetary Fund (IMF)	• *An organization of 185 countries that promotes international monetary cooperation and provides advice, loans, and technical assistance.*
World Bank Group	• A group of five closely associated institutions that provides financial and technical assistance to developing countries.
Organization for Economic Cooperation and Development (OECD)	• an international economic organization that helps its 30 member countries achieve sustainable economic growth and employment.

Types of International Organizations

Multinational Corporation (MNC) – *a broad term that refers to any and all types of international companies that maintain operations in multiple countries.*

Multidomestic Corporation –

- An MNC that **decentralizes** management and other decisions to the local country.

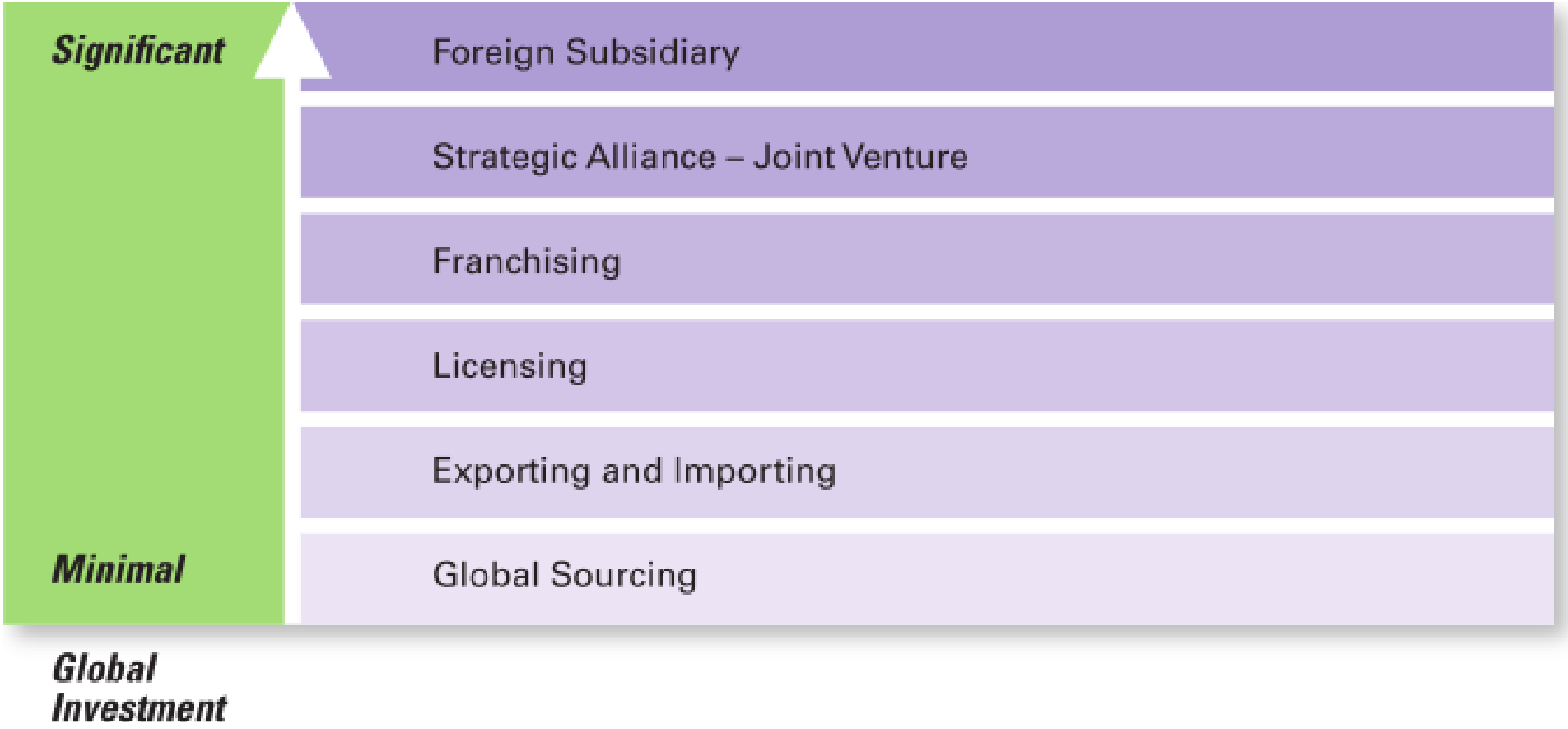
Global Company –

- An MNC that **centralizes** management and other decisions in the home country.

Transnational or Borderless Organization –

- An MNC in which artificial geographical barriers are eliminated.

How Organizations Go Global



How Organizations Go Global

Global Sourcing –

- Purchasing materials or labor from around the world **wherever it is cheapest.**

Exporting & Importing

- Exporting: Making products domestically and selling them abroad.
- Importing: **Acquiring products made abroad and selling them domestically**

Licensing –

- An organization gives another organization the right to make or sell its products **using its technology or product specifications**.

Franchising –

- *An organization gives another organization **the right to use its name** and **operating methods**.*

How Organizations Go Global (cont)

Strategic Alliance –

- *A **partnership** between an organization and one or more foreign company partner(s) in which both **share resources** and knowledge in developing **new products** or building production facilities.*
- **Joint Venture –**
  - *A specific type of strategic alliance in which the partners agree to form a separate, independent organization for some business purpose.*

Foreign Subsidiary –

- Directly investing in a foreign country by setting up a separate and independent production facility or office.

Managing in Global Environment

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The Political/Legal Environment

- Managers must stay informed of the **specific laws in countries** where they do business
- Some countries have **risky political climates**

The Economic Environment

- **Free Market Economy** – an economic system in which resources are primarily owned and controlled by the **private sector**.
- **Planned Economy** – an economic system in which economic decisions are planned by a **central government**.
- **Currency exchange rates, inflation rates, and diverse tax policies**

Managing in Global Environment



Hofstede's Five Dimensions of National Culture

The Cultural Environment

- **National Culture** – *the values and attitudes shared by individuals from a specific country that shape their behavior and beliefs about what is important.*
- **Hofstede's framework for assessing cultures** – *one of the most widely referenced approaches to helping managers better understand differences between national cultures.*

Referensi

- Robbins, Stephen P & Coulter, Mary A. (2021). Management (15th edition). London : Pearson Education.